

of self-control (i.e., one might overspend and then the tax money might not be there when one needs it.)

Self-control bias can also be described as a conflict between people's overarching desires and their inability, stemming from a lack of self-discipline, to act concretely in pursuit of those desires. For example, a college student desiring an "A" in history class might theoretically forgo a lively party to study at the library. An overweight person desperate to shed unwanted pounds might decline a tempting triple fudge sundae. Reality demonstrates, however, that plenty of people do sabotage their own long-term objectives for temporary satisfaction in situations like the ones described.

Investing is no different. The primary challenge in investing is saving enough money for retirement. Most of this chapter will focus on the savings behaviors of investors and how best to promote self-control in this often-problematic realm. Perhaps the best framework for understanding how to advise clients on self-control bias is done in the context of life-cycle hypothesis, a rational theory of savings behavior.

Technical Description

The technical description of self-control bias is best understood in the context of the *life-cycle hypothesis*, which describes a well-defined link between the savings and consumption tendencies of individuals and those individuals' stages of progress from childhood, through years of work participation, and finally into retirement. The foundation of the model is the *saving decision*, which directs the division of income between consumption and saving. The saving decision reflects an individual's relative preferences over present versus future consumption. Because the life-cycle hypothesis is firmly grounded in expected utility theory and assumes rational behavior, an entire lifetime's succession of optimal saving decisions can be computed given only an individual's projected household income stream vis-à-vis the utility function.

The income profile over the life cycle starts with low income during the early working years, followed by increasing income that reaches a peak prior to retirement. Income during retirement, based on assumptions regarding pensions, is then substantially lower. To make up for the lower income during retirement and to avoid a sharp drop in utility at the point of retirement, individuals will save some fraction of their income when they're still working, spending it later during retirement. The main prediction, then, of the life-cycle hypothesis is a lifetime savings profile characterized by a "hump"-shaped curve, with savings building gradually, maxing out, and finally declining again as a function of time.